

EMPLOYMENT & SKILL DEVELOPMENT — Quick Revision

GS3 Economy | Sarathi IAS MMP+ Ch 12 | Highlighted Content Only

1. INTRODUCTION — Demographics & Structural Transformation

Key Point	Data
Working-age population (15–59) to exceed	98 crore in next 10 years
Demographic dividend peaks	~2030
% of population in 15–59 at peak	65%

Structural transformation drivers : Digitalisation + Green energy transition + Emerging gig & platform work → policy focus: quantity → quality of work

2. LONGEVITY DIVIDEND & SILVER ECONOMY

Longevity dividend = economic and social gains when people live longer, healthier, more productive lives. Elderly can be: workers, consumers, mentors, caregivers, community participants

Harnessing — Key Schemes

Intervention	Scheme
Preventive healthcare + NCD management	Ayushman Arogya Mandirs (elderly + palliative)
Flexible jobs + 2nd career	SACRED Portal
Digital & financial literacy	PMGDISHA
Geriatric care training	PM Special Training of Geriatric Care Givers
Assistive devices	Rashtriya Vayoshri Yojana
Elder-friendly infra	AVYAY — shelter, food, medical care, entertainment

Case Study: Telangana — ElderX tech platform → global Silver Economy leader by 2047 → serve 150 million seniors across 30 countries

Challenges

- Rising **NCDs** → dependency burden
- Lack of **geriatric hospitals**, trained caregivers
- Rigid retirement norms, age bias**, weak **second-career platforms**
- Digital illiteracy** among elderly

Way Forward

BLAT — Biomedical research + preventive healthcare | Lifelong learning ecosystems | Age-friendly work arrangements | Targeted programmes for informal & unorganised workers

3. EMPLOYMENT OVERVIEW — Macro Landscape

Survey	Captures	Key Data
PLFS	Monthly/quarterly LFPR & UR	Improving LFPR, falling unemployment
ASI	Organised manufacturing	6% YoY ↑ FY24; +10 lakh jobs
QBUSE	Unorganised non-agri sector	7.9 cr establishments, 12.9 cr individuals

Sectoral Distribution

- Agriculture = 42.4% of workforce
- Gendered Sectoral Divergence** : 59.1% of female workforce in agriculture; males dominate Tertiary (36.7%) & Secondary (28.5%)

Gender Dynamics — 🕒 TIME POVERTY, MOTHERHOOD PENALTY, PINK TAX

Indicator	Female	Male
Own-account workers + helpers (rural women)	37.5% + 34.2%	—
Rural women in regular wage jobs	Only 10.8%	—
Unpaid activities (min/day)	363	123
Paid activities (min/day)	302	414
Caregiving (min/day)	140	74

Dual Burden: Women's combined (paid + unpaid) time exceeds men's total | **TUS 2024**: Employment participation (15–59) → Males 75%, Females 25% (up from 70.9% & 21.8% in 2019)

4. MONETIZING THE CARE SECTOR

ILO: care work = meeting physical, psychological, emotional needs

Fact	Number
Care sector jobs globally by 2030	475 million
India: 2% GDP investment → jobs	11 million (70% to women)
By 2050, India must care for	64.7 crore (30 cr children + 34.7 cr elderly)
Women's unpaid work/day	5.6 hours (men: 30 min)

Unpaid care valued at	15–17% of GDP
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Motherhood penalty → pushes women into informal jobs / out of labour force

Key Interventions

- **Revamped Palna Scheme** + **Anganwadi-Cum-Creche** initiative
- Create **Sector Skill Council for Care Services** + standardised skilling modules
- Quality monitoring: UK's **OFSTED model**
- Community: **Jeevika in Bihar**

Case Study — Creches:

Mexico: public childcare → **45,000 paid positions** + mothers found paid jobs
 India: quality creches → improved women's wellbeing, income, child wellbeing

State Best Practices:

- **17 states** removed hazardous industry ban
- **22 states** permit night work (with safety)
- **TN Thozhi Hostels** • **Telangana WE-Hub**
- **Kerala Kudumbashree** • **Maha MAVM**

Viksit Bharat 2047: female participation → **~55% by 2050** critical for GDP growth

5. STRATEGIC INTERVENTIONS — Female LFPR

🔗 *Handwritten: LFPR ← STEM + Pink tax on mobility + Gender Responsive Infra + Safe Rental + Skilling (Back to Work / Returnship) + SHG → MSME + Labour Codes + Behaviour Change*

Intervention	Key Data / Example
STEM	Women = only 43% of enrollment (2021–22)
Pink Tax on Mobility	31% women: commuting is barrier; 13% childcare; 19% domestic duties (WB 2021)
Safe mobility	Kochi Women Police Control Room ; Hyderabad SHE Teams ; NCRTC 21-day driver course; Bhubaneswar Janpath Street
Affordable housing	Sakhi Niwas ; TN Thozhi Hostels
Skilling	' Back to Work ' + ' Returnship ' programmes; SHGs → MSME ecosystem

Labour Code Provisions for Women

Section	Provision
Sec 59(5), CSS 2020	Women can work from home
Sec 60, CSS 2020	Maternity benefits
Sec 67, CSS 2020	Mandates creches
Sec 3, Code on Wages 2019	Equal wages (gender equality)

6. UNORGANISED WORKFORCE

CSS 2020 defines **unorganised workers** = home-based, self-employed, or wage workers in unorganised sector + organised sector workers not covered by Industrial Disputes Act, 1947

eShram Portal

- National Database of Unorganised Workers
- **31 crore** registered (Jan 2026); **women = 54%**
- **UAN** linked to Aadhaar
- Portability of **18** integrated welfare schemes

National Career Service (NCS)

- Launched 2015; **employment-matching**
- Links: **SIDH**, **EPFO**, **ESIC**, **eShram**, **eMigrate**
- **5.9 cr** job seekers, **53 lakh** providers, **~8 cr** vacancies

7. ORGANISED MANUFACTURING — Scale & Spatial Concentration

Structural Asymmetry (ASI FY24)

	Small (<100 emp.)	Large (100+)
Share of factories	77%	22%
Share of workforce	21%	79%
Employment CAGR	2%	6%
Growth in numbers (FY14–24)	26%	97%

Large factories = **more employment** + **more wages** + **higher NVA/person** + **faster growth**

🔗 60% in 7 states — Spatial Concentration

TN	GJ	MH	UP	KA	HR	TS
15%	13%	13%	8%	6%	6%	5%

Manufacturing = **11.4%** of total employment (**1.9 cr** organised + **3.3 cr** unorganised)

8. WORKER WELL-BEING — Tri-Dimensional Framework

Dimension	Mechanism	Impact
Financial	Earned Wage Access (EWA) — access wages before payday	RCT (800+ women): ↓ high-interest informal borrowing ; 20% ↓ forgoing essentials
Mental	Buddy System — pair migrant women workers with experienced peers; cognitive-behavioural techniques	5.3% ↓ anxiety; 5.9% ↓ depression; productivity + 6.4% (new) / + 12% (buddies)
Physical	SRH Training (Sexual & Reproductive Health) at workplace	↑ health behaviours; ↑ reporting of sexual harassment ; greater awareness

9. NEW LABOUR CODES — Catalysing Job Growth

29 central laws → 4 codes: (1) Code on Wages 2019 (2) Industrial Relations Code 2020 (3) Code on Social Security 2020 (4) OSH Code 2020

Core Features

GAPE-MNT : Gig workers recognised | Appointment letters mandatory | Portable social security (migrants) | Equal benefits (fixed-term + contract) | Minimum wage + National floor wage | Timely payments
Inspector → **'Inspector-cum-Facilitator'** | **Single pan-India registration/license/return**

Case Study: UP Labour Reform — Women in all **29 hazardous sectors** + night shifts | **Double wages for overtime** | Quarterly cap → **144 hours** | Safety: **CCTV, security personnel**, anti-harassment squads

Multi-Dimensional Impact

Dimension	Key Impact
Women	Equal wages (Sec 3) + creches (Sec 67) + WFH (Sec 59(5)) + maternity (Sec 60) → FLFPR to 33.7%
Formalisation	Mandatory appointment letters ; FTE equalised. SBI: 60.4% → 75.5% . Voluntary Dwarfism curbed. Compliance ↓ 30–40% for SMEs
Social Security	Aggregators: 1–2% of annual turnover → cover 2.35 cr gig workers by 2030. Portable via UAN
Aggregate Growth	+1.25% GDP by 2029–30 ~77 lakh new jobs Code on Wages → ₹75,000 cr into consumption

10. GIG ECONOMY & INFORMAL WORKFORCE

Key Data

Metric	Figure
Gig workers FY21 → FY25	77 lakh → 120 lakh (55% rise)
Share of total workforce	Over 2%
Projected share by 2029–30	6.7% (non-agri)
Earning <₹15,000/month	~40%
Smartphones	80 crore users
UPI transactions/month	15 billion

Definitions

ILO: self-employed/independent contractors, paid on task completion via platforms

CSS 2020: outside traditional employer–employee relationship; **aggregators** = digital intermediaries

McKinsey Categorisation

(i) **Free agents** (primary income, prefer gig) | (ii) **Casual earners** (supplementary) | (iii) **Reluctants** (prefer regular jobs) | (iv) **Financially strapped** (to make ends meet)
→ **Policy aim: Move (iii)+(iv) → (i)+(ii) = Make gig work a CHOICE, not necessity**

NITI Aayog 2030: high-skilled gig = **27.5%**, low-skilled = **33.8%**

Challenges

- Income uncertainty** | **Weak social security** (no insurance/pension/paid leave/maternity)
- Algorithmic control** (opaque algorithms) | **Credit exclusion** (**thin-file credit problem**)
- Limited upward mobility** — stuck in low-skill gigs; fear of AI/ML replacement

Measures Taken

Measure	Key Detail
CSS 2020	First formal definition ; welfare: life/disability, accident, health/maternity, old-age
eShram	Launched 26 Aug 2021 ; One-Stop Solution: 21 Oct 2024
Aggregator module	12 Dec 2024; 12 aggregators (Zomato, Swiggy, Uber, Ola, Amazon, Zepto, Urban Co.)
Budget 2025–26	eShram registration + identity cards + AB-PMJAY health coverage
Registration drives	5.12 lakh platform workers by 1 Dec 2025
State-level	Rajasthan: welfare-board + aggregator contribution; Karnataka: similar proposed

Way Forward

- Portable social security** across platforms via **eShram + UAN**
- Income protection**: minimum per-hour/per-task earnings + **waiting time** compensation
- Algorithmic transparency**, data access, **competition rules**, **grievance redressal**
- PLFS should identify gig workers separately**
- Financial literacy** + flexible **credit/insurance** products

Global Best Practices

Country	Reform
Spain — Rider Law, 2021	Riders = employees ; attention to algorithms at workplace
EU — Platform Workers' Directive, 2024	Correcting misclassification ; regulating algorithmic & data-based decisions
ILO, 2025	Global standards for decent work in platform economy

11. SKILL ECOSYSTEM (🔗 Output vs Outcome)

Current Situation

Metric	Data
Vocational training coverage (15–59)	8.1% → 34.7% (2017–24)
Youth (15–29) in formal vocational	Only 4.9%
Schools with skill courses (IX+)	Only 47%; participation 29%
Youth employability	~56.3%
12 pp rise in skilled workforce →	Employment ↑ >13% by 2030

Key Challenges

- **Supply-driven skilling** (chasing numbers, not outcomes) | **Weak foundational readiness** (literacy, numeracy, digital, soft skills)
- **Industry mismatch** | **Limited employer ownership** (curriculum, apprenticeships)
- **Poor placement & retention** | Weak **TVET** (outdated curricula, inadequate instructors)
- **Low employability despite certification** | **Low social status** of vocational work
- **Financing constraints** | **Fragmented governance** (multiple ministries)

Key Schemes

Scheme	Highlight
PMKVY 4.0	NSQF-aligned ; digital tech, green energy, healthcare, advanced agri, e-commerce
PM Vishwakarma	18 traditional trades; 30 lakh registered, 23.09 lakh trained
ITI / PM SETU	1,000 govt ITIs (200 hub + 800 spoke)
Future-skills in ITIs	169 NSQF trades incl. 31 future-skills (AI, IoT, renewable, 3D printing)
SWAYAM Plus	AI, data analytics, robotics
NATS 2.0	12 lakh DBT transfers

Financing Mechanisms

Mechanism	Detail
NAPS 2.0	Govt pays 25% of stipend directly via DBT
Stipend released	~₹1,110.64 cr by Oct 2025
Model Skill Loan 2024	↑ loan limits, wider lenders
Skill Impact Bond	Payment linked to placement & retention, not enrolment
Skill Vouchers	Demand-side; learner chooses; payment on completion/placement. Maharashtra's Vikalp → 60% job retention

Key Shift

Training delivery → Labour-market delivery | Not "how many trained" but "how many became employable, retained, better paid, trusted"

Baseline → Certification + Placement → Retention (6–12 mo) → Earnings ↑ → Employer demand → Rank courses → Expand high / Phase out weak

Skill-Employment Data Loop (7 systems)

SIDH → NCS → eShram → EPFO → ESIC → APAAR → PM Vishwakarma → Integrated loop
Result: better tracking, matching, accountability

Best Practices

Model	Approach
Odisha "Skill in Odisha"	Fix ITIs (10-6-4-2 formula) → Scale (DDU-GKY) → Accelerate (World Skill Centre, Bhubaneswar)
Singapore	Track employability & wage effects post-course
Germany & Switzerland	Employers in curriculum design, workplace learning, assessment
Korea	Periodic review; prune weak, expand effective

12. APPRENTICESHIPS

Data	Figure
PM-NAPS apprentices	43.47 lakh across 36 states/UTs, 51,000 establishments
Female participation	~20%
NATS (FY25)	5.23 lakh
Active enterprises (NAPS)	Only 6,100 (vs 5.2 lakh SMEs)

Gaps: Low enterprise participation | Fragmented governance (NAPS=MSDE, NATS=MoE) | Regional imbalance | Weak post-training pathway
Way Forward: Unified framework | District Skill Committees | MSME cluster models | Expand: green, logistics, digital, gig | Link with Recognition of Prior Learning (PMKY)

13. VOCATIONAL EDUCATION — Classroom to Career

Gaps: Late exposure | Only 47% schools, 29% participation | Academic bias | Weak industry connect | Skill mismatch (2025 Nat. Skill Gap Study) | Limited mobility across pathways

India's Actions

- **Samagra Shiksha** — vocational + general linked | **CBSE 2025–26: Kaushal Bodh** textbooks (Grades VI–VIII)
- **National Credit Framework** — credit transfer (academic/vocational/work) | **STARS** (World Bank): MP Skill GPS, Rajasthan Career Ed, Maharashtra Career Portal

14. PM INTERNSHIP SCHEME (PMIS)

Feature	Detail
Announced	Union Budget 2024–25
Target	1 crore internships in top 500 companies / 5 years
Age / Qualification	21–24 yrs; Class 10+
Duration	12 months (≥ half in real workplace)
Stipend	₹5,000/month + one-time ₹6,000
Insurance	PM Jeevan Jyoti + PM Suraksha Bima
Excluded	Elite institutions, PG holders, income >₹8 lakh, govt employee families

Pilot Concerns

- 1.65 lakh offers → acceptance < one-third | ~one-fifth left before completion
- Mismatch: location, role & duration | ₹5,000 inadequate for urban | Underutilisation of funds
- Credibility risk: 1 crore target may lose credibility if pilot outcomes weak

Way Forward: Improve matching | Recalibrate stipend (local costs) | NSQF-aligned certification | CSR-linked disclosure | Decentralise to ITIs/polytechnics | Reward completion & hiring

KEY TERMS — Quick Reference

Term	One-liner
Dual burden	Women's paid + unpaid work combined exceeds men's
Time poverty	No discretionary time due to care/domestic load
Motherhood penalty	Income/employment disadvantage from childcare
Pink tax on mobility	Extra cost/constraint women face commuting
Voluntary dwarfism	Firms stay small to dodge regulatory thresholds
Thin-file credit problem	No formal credit history — irregular income
Care economy	Paid + unpaid activities meeting care needs
Monetising care work	Converting unpaid care into formal employment
Gendered sectoral divergence	Women in agri, men in services/industry
Spatial concentration	Manufacturing jobs in a few leading states
Lifelong learning	Continuous reskilling & upskilling through career
NSQF-aligned certification	Skills aligned with National Skills Qualification Framework